Disinvestment Commission to advice upon the various aspects of the disinvestment process. The financial year 1999–2000 saw a serious attempt by the Government to make disinvestment a political process to expedite the process of disinvestment in the country—first a Disinvestment Department and later a full-fledged Ministry of Disinvestment was set up.[44] The new government (UPA) dismantled the Ministry of Disinvestment and today only the Department of Disinvestment is taking care of the matter, working under the Ministry of Finance.

Types of Disinvestment

Since the process of disinvestment was started in India (1991), we see its ***two official types.*** A brief discussion on them is given below:

(i) Token Disinvestment

Disinvestment started in India with a high political caution—in a symbolic way known as the ***'token' disinvestment***. The general policy was to sell the shares of the PSUs maximum upto the 49 per cent (i.e. maintaining government ownership of the companies). But in practice, shares were sold to the tune of 5–10 per cent only. This phase of disinvestment though brought some extra funds to the government (which were used to fill up the fiscal deficit considering the proceeds as the 'capital receipts') it could not initiate any new element to the PSUs which could enhance their efficiency. It remained the major criticism of this type of disinvestment, and the experts around the world started suggesting the Government to go for it in the way the ownership could be transferred from the government to the private sector. The other hot issue raised by the experts was related to the question of using the *proceeds* of disinvestment.

(ii) Strategic Disinvestment

In order to make disinvestment a process by which efficiency of the PSUs could be enhanced and the government could de-burden itself of the activities in which the private sector has developed better efficiency (so that the government could concentrate on the areas which have no attraction for